

SCANSHIP (LIBERIA) INC./LMSC, by and thru its Managing Director, E. R.
CHALKLEY, Comptroller, or any other Corporate Officer, Appellant, *v.* **MOSES K.**
FLOMO, Appellee.

APPEAL FROM THE JUDGMENT OF THE NATIONAL LABOUR COURT,
MONTSERRADO COUNTY.

Heard: November 4, 2002. Decided: December 13, 2002.

1. Whenever the issue of a court's jurisdiction is raised, every other thing in the case becomes subordinated until the court has determined its jurisdiction to hear and dispose of the particular matter.
2. If a court lacks jurisdiction to entertain a matter, whatever decision or judgment it renders is a legal nullity.
3. Subject matter jurisdiction can be raised at any point of the trial and even before the Supreme Court; hence, it is not necessary that a motion challenging the subject matter jurisdiction of the court be filed at the time of the service of the responsive pleading, as required of other motions challenging the jurisdiction of the court.
4. All defenses and objections attacking the jurisdiction of the court, other than subject matter jurisdiction, must be raised in a motion and filed at the time of service of the responsive pleading or else they are deemed waived.
5. An attack on the jurisdiction of a court over the subject matter is never waived, and it is error for the a judge to fail to pass on the issue of the jurisdiction of the court over the subject matter in litigation.
6. Where the relationship between the parties is that of bailor-bailee, the law vests jurisdiction in the Circuit Court which has general jurisdiction over all civil matters other than those specifically designated by statute to be assigned to or vested in another (specialized) court.
7. Once the court's jurisdiction has been challenged, the court must stop all other proceedings in the case and determine its own jurisdiction.
8. The law imposes a duty on the court to determine, on its own motion or initia-tive, its jurisdiction over the subject matter even if none of the parties raises the issue, before it proceeds to entertain the matter and render a decision thereon.
9. The jurisdiction of a court is vested in it by the statute creating it and anything outside of that jurisdiction is void *ab initio*.
10. Although the debt court, being a court of record has the right to enter declaratory judgments, yet the subject matter must first be cognizable before the court in order for it to proceed.
11. There is a difference between a debtor-creditor relationship and a bailor-bailee

relationship. A bailment imputes the delivery of personal property by one person to another in trust for a specific purpose, with a contract, express or implied, that the trust shall be faithfully executed, and the property returned or duly accounted for when the special purpose is accomplished, or kept until the bailor reclaims it.

12. A breach of contract of bailment is cognizable before the civil law court and not the debt court.

13. The Supreme Court need not pass on every issue raised by the parties, but only those which are germane to the resolution and determination of the case.

The appellee, a former employee of the appellant, had entered into an arrangement with the appellant to deduct from his monthly salary an amount of \$400.00 until it had accumulated a sufficient amount to enable him to purchase a car. The advent of the civil war in Liberia caused the interruption of the deductions after the amount of \$6,800.00 had been accumulated. Several years later, after the fighting had subsided, the appellee demanded the amount deducted from his salary, but the appellant honoured the demand only partly, paying him only \$1,000.00, and stating that as both the appellant and the appellee did not have records of the transaction, further payments should be deferred until evidence could be produced relative to the transactions. Later, after the appellant had declared the appellee redundant, the latter's counsel wrote a letter to the appellant requesting payment of the balance amount due the appellee. When the appellant refused to make payment, the appellee filed a petition in the debt court seeking a declaratory judgment.

Among the issues raised, including the issue of the statute of limitations, the appellant challenged the jurisdiction of the court over the matter, contending that the matter was one growing out of a employer-employee relationship, and therefore cognizable before the Ministry of Labour. This was refuted by the appellee who claimed that the relationship was one of bailor/bailee and therefore cognizable before the debt court. The trial court agreed with the appellee and therefore ruled that it had jurisdiction to entertain the matter. At the close of the evidence, the court ruled that the appellant was indebted to the appellee, and it ordered that payment be made.

On appeal to the Supreme Court, the judgment was reversed, the Court holding that the debt court was without jurisdiction of the subject matter of the claim. The Court noted that when the issue of jurisdiction is raised, all other pleadings in the action are subordinated to the motion raising the jurisdictional issue, and that the trial court must then first decide if it has jurisdiction before it proceeds further with the case. Any judgment rendered by a court which is without jurisdiction of the subject matter, the Supreme Court said, is valid *ab initio*.

The Court held that the trial judge had erred in determining that he had jurisdiction over the matter and that the appellant was precluded from raising the issue since it had failed to raise the issue at the same time that it filed its responsive pleading. The Court opined that the appellant had the right to challenge the jurisdiction of the court over the subject matter,

a challenge which could be raised at any time, including even at the Supreme Court level, noting that the challenge had in fact been raised at the time the appellant filed its responsive pleading. The Court held that as the subject matter was one of bailor-bailee relationship it was cognizable before the civil law court rather than the debt court. It therefore reversed the judgment of the trial court without prejudice to the appellee to refile its suit in the civil law court.

Emmanuel Seku Koroma and *H. Varney G. Sherman* of Sherman and Sherman Law Firm appeared for appellant. *Beyan D. Howard* of the Legal Consultants Law Firm appeared for the appellee.

MR. JUSTICE WRIGHT delivered the opinion of the Court.

On June 12, 2000, Mr. Moses K. Flomo, the appellee herein, filed in the Debt Court for Montserrado County a nine-count petition for declaratory judgment, alleging that while he was employed with Scanship (Liberia) Inc. he wrote his employer a letter dated March 9, 1989, requesting the employer to deduct and withhold the amount of \$400.00 (Four Hundred Dollars) from his monthly salary so that he could use the accumulated amount to buy a car at the end of 1990. This request was approved and the deductions began and continued up to the Liberian civil war. The civil war engulfed Monrovia on July 2, 1990, rendering it impossible for appellee to buy his car. However, when the hostilities subsided, he wrote the appellant management on December 8, 1991, demanding a refund of his monies deducted by the appellant from his salary for seventeen (17) months at the rate of \$400.00 per month, amounting to US\$6,800.00. The appellant managing director, P. F. J. Stappers, responded by a telefax on December 28, 1991, agreeing to pay him US\$1,000.00 and stating that the balance would be paid if and when evidence could be produced to establish the claim since neither Scanship nor Mr. Flomo had any documents to prove the claim.

The appellee received the fax and the money (US\$1,000.00) on December 30, 1991. The records do not show that any further action was taken on this matter by either of the parties until the appellee was declared redundant on February 1, 2002, which was the third time he had been declared redundant, and all his benefits and entitlements paid in full. On each such occasion, including the third and last one, he executed a release, relieving appellant of all claims relating to or growing out of his employment.

On March 27, 2002, the appellee's counsel wrote Appellant Scanship demanding the payment of the balance US\$5,800.00 due the appellee. In response thereto, the appellant's counsel wrote a letter dated April 4, 2002 denying any indebtedness or other liability to Appellee Moses K. Flomo. In the said letter, the appellant's counsel indicated that even if the claim were found to be genuine, it would be barred by the statute of limitations. Upon

this disclaimer of liability and denial of the claim by Appellant Scanship, Appellee Moses K. Flomo filed this suit in the Debt Court for Montserrado County, demanding a declaration that Scanship is indebted to him for the unpaid balance of US\$5,800.00 since Scanship had acknowledged its obligation on December 28, 1991 and had at that time made a partial payment of US\$1,000.00.

Scanship filed an answer containing 24 counts which basically denied liability. It simultaneously filed a motion to dismiss the action for lack of jurisdiction over the subject matter and for the suit being barred by the statute of limitations. The appellant, Scanship, also filed a motion requesting Judge Mathies to recuse himself because he had allegedly shown bias in other cases before him involving the Sherman and Sherman Law Firm and others of its clients.

The judge heard and denied the two motions and Scanship filed two separate petitions for the writ of certiorari, both of which were refused by the Chambers Justices, and the case ordered proceeded with. The trial judge ruled the case to trial and at the conclusion of the evidence, the judge declared that Scanship was indeed indebted to Mr. Moses K. Flomo in the amount sued for, i.e. US\$5,800.00, same being the balance due the appellee, since the appellant had acknowledged its obligation and had made partial payment. Scanship, being dissatisfied with all the several rulings of the judge, including his final judgment, announced an appeal to this Court for a review of the case.

The appellee, in his brief, has presented two issues for our resolution:

1. Whether or not the petition for declaratory judgment filed by the appellee in the court below was statute barred?
2. Whether or not the appellee was estopped from claiming in the petition for declaratory judgment the balance amount of US\$5,800.00 which the appellant had deducted from his salary for safe-keeping because of the release he signed when he received his redundancy benefits from the appellant in February 2000?

On the other hand, the appellant has presented seven (7) issues for consideration by this Court, as follows:

1. Whether the facts and circumstances presented by the pleadings support the appellant's contention that the debt court lacks jurisdiction over the subject matter?
2. Whether the facts and circumstances presented by the pleadings support the appellant's contention that the claim is barred by the statute of limitations?
3. Whether an employee who issues a general release to his employer at the end of the employee's services, releasing and discharging the employer from all claims, may subsequently lodge a claim against the employer for wrongfully withholding or retaining funds deducted from his salary for the purpose of purchasing a vehicle for the employee or for any other purpose?
4. Whether an employee can recover United States dollars from his employer as deductions made from his salary in the absence of a showing of a contract between them that the salary

would be paid in United States dollars?

5. Whether the conditional part payment of the claim established proof of the amount of the claim or an was an acknowledgment of obligation to the claimant where the condition was never satisfied?

6. Whether the failure of a trial judge to squarely pass upon the issues of law and facts raised in a motion for judgment during trial is a reversible error?

7. Whether bias of a trial judge against counsel for a party litigant is a basis for the recusal of the trial judge from the case pending before him in which said counsel is representing a party?

We observe that several issues of law and of fact have been advanced by both parties for this Court to pass on in determining the rights and status of the parties, including the issue of jurisdiction. This Court has been consistent in its holding that whenever the issue of a court's jurisdiction is raised, every other thing in the case becomes subordinated until the court has determined its jurisdiction to hear and dispose of the particular matter. This is true because if a court lacks jurisdiction to entertain a matter, whatever decision or judgment is rendered by it is a legal nullity. *Rogers and the Commissioner of Insurance v. Universal Insurance Company*, 40 LLR 613 (2001), decided by this Court at its October Term, 2001; *Vargas v. Morris*, 39 LLR 18 (1998), decided at the March Term 1998 of this Court.

The appellant raised the issue of lack of jurisdiction over the subject matter in both its motion to dismiss, as well as its returns to the petition for declaratory judgment. The appellant contended that the relationship between the parties out of which the transaction occurred, which led to the institution of the suit, was an employer-employee relationship and that therefore the suit was properly cognizable before the Labour Ministry as the forum of first instance.

In response to this contention, the appellee argued in his resistance to the motion to dismiss and reply to the returns, that "the relationship out of which the subject of these proceedings grows is one of bailor and bailee; and more specifically, a gratuitous bailment with petitioner as the sole beneficiary. Petitioner submits that a recourse to his exhibit "P-1" to the petition clearly showed that the bailor-bailee relationship created thereby is for an indefinite term as no specific date or time was designated for a return to petitioner of the money deducted. [9] Petitioner submits that in this case, the bailor-bailee relationship was created between petitioner and respondent in 1989..." See counts 7 and 9 of petitioner's reply.

In disposing of this issue, the trial judge held that there were no elements of labor dispute in the petition and that as a court of record it was within his power to declare rights and obligations of parties regarding debts. The judge continued:

"This Court also holds that while the Supreme Court has held that the issue of subject matter jurisdiction can be raised at any point of the trial and even before the Supreme Court, the statute controlling motion to dismiss provides that a motion to dismiss must be filed at

the time of service of the responsive pleading.”

We observe that the trial judge did not decide whether or not the relationship between the parties was one of employer-employee as claimed by the appellant in its returns and motion, or one of bailor-bailee as claimed by the appellee in his reply. The trial judge ruled only that even though subject matter jurisdiction can be raised at any stage, even in the Supreme Court, the statute provides that it must be raised in a motion filed at the time of service of the responsive pleading. This ruling is not only erroneous and a misapplication and misinterpretation of that statute, but it is confusing and contradictory. On the one hand, the judge recognized that the Supreme Court has held that subject matter jurisdiction can be raised at any point of the trial and even before the Supreme Court, yet the judge ruled that the issue should have been raised in a motion filed at the time of service of the responsive pleading. This is contradictory and hence reversible.

But more importantly, this ruling is a misunderstanding and misapplication of the statute on dismissal of actions. The statute provides that all defenses or objections attacking the jurisdiction of the court must be raised in a motion and filed at the time of service of the responsive pleading or else they are deemed waived, (Civil Procedure Law, Rev. Code 1:11.2 (1) (a-e)), except that an attack on the court’s jurisdiction over the subject matter is never waived. Civil Procedure Law, Rev. Code 1:11.2 (6).

Even more important is that the judge inadvertently over-looked the fact that when the appellant filed its returns, it also filed its motion to dismiss at that same time, raising this issue, as well as its motion to recuse. Thus, even assuming the judge had properly applied the law, the application was contrary to the facts and the records in the case file because the motion to dismiss and the motion to recuse were filed simultaneously with the returns to the petition, thus satisfying the requirement of section 11.2(1) of the Civil Procedure Law.

We therefore hold that it was error for the judge, firstly, to fail to squarely pass on the issue of the debt court’s jurisdiction over the subject matter. In fact, had he determined what the subject matter was, then he would have been able to say if he had jurisdiction to hear such a case. The appellant contended that the relationship between the parties was that of employer-employee and that as such, by law, should have been cognizable before the Ministry of Labour. The appellee retorted that the relationship between the parties was that of bailor-bailee. This by law would have vested jurisdiction in the Civil Law Court which has general jurisdiction over all civil matters other than those specifically designated by statute to be assigned to or vested in another (specialized) court. This was a grave error because once jurisdiction has been challenged, the court must stop all other proceedings in the case and determine its own jurisdiction. In fact, the law imposes that duty on the court even if none of the parties raises the issue, that is, the court, of its own motion or initiative, has the duty to first determine its own jurisdiction over the subject matter before it can proceed to entertain the matter and render a ruling therein. *Lamco J. V. Operating Company v. Verdier*, 26 LLR 445 (1978), text at 448; also *Sheriff v. Carew*, 34 LLR 483 (1986). Jurisdiction of courts is

vested in them by the statutes creating them and anything outside of that jurisdiction is void *ab initio*. *Rogers v. Universal Insurance Company*, *supra*, text at page 5; also, *Ali v. Kassaykero Corporation*, 31 LLR 243 (1983).

Even the law on declaratory judgment provides that “Courts of record *within their respective jurisdiction* shall have power to declare rights, status, and other legal relations.” (Emphasis ours). Civil Procedure Law, Rev. Code 1:43.1. Hence, even though the debt court, being a court of record, has the right to enter declaratory judgments, yet the subject matter must first be cognizable before the debt court; i.e. the relationship between the parties must be that of debtor-creditor. *Mathies and Fima Capital Corporation Ltd. v. Alpha International Investment, Ltd.* 40 LLR 565 (2001). What is even more amazing is that the appellee, in his reply, filed in answer to the appellant’s returns, contended that the relationship between the parties was that of bailor-bailee and not one of employer-employee, as claimed by the appellant.

Therefore, even if the judge did not agree with the appellant that the case was one growing out of employer-employee relationship, the judge could not have ignored the assertion by the appellee that the case was one of bailor-bailee. Thus, even the appellee who filed the action disagreed with the judge that the case was one of debtor-creditor. Accordingly, we hold that the judge committed an error for which his judgment is hereby reversed.

There is a definite difference between a debtor-creditor relationship and a bailor-bailee relationship, as a “bailment” in its ordinary legal signification imports the delivery of personal property by one person to another in trust for a specific purpose, with a contract express or implied that the trust shall be faithfully executed, and the property returned or duly accounted for when the special purpose is accomplished, or kept until the bailor reclaims it. 8 AM JUR, 2d., *Bailment*, § 2. A breach of contract of bailment is cognizable before the Civil Law Court and not the debt court.

This Court concurs with the contention of the appellee that the facts of this case place it in the category of bailor-bailee and we therefore hold that the action should have been properly brought before the Civil Law Court, Sixth Judicial Circuit, Montserrat County, as contended by the appellant, and not before the debt court. All that the debt court had to do was to dismiss the case without prejudice to the appellee to refile the action in the Civil Law Court. Therefore the judgment rendered by the debt court was void *ab initio* and of no legal effect. *Ali v. Kassaykero Corporation*, *supra*.

Having sufficiently exhausted the issue of jurisdiction over the subject matter, we are left with all the other issues raised in the briefs by the parties. However, since the judgment dealing with these issues has already been nullified and reversed, there is no need to deal with them. Those issues will have to be relitigated in the new suit which will be filed in the proper forum, the Civil Law Court, and then come back to this Court for review, if there is a need to. Beyond that, we have held over and again that this Court need not pass on every

issue raised by the parties but only those which are germane to the resolution and determination of the case. *Mathies and Fima Capital Corporation Ltd. v. Alpha International Investment, Ltd.*, 40 LLR 565 (2001); also *Knuckles v. The Liberian Trading and Development Bank (TRADEVCO)*, 40 LLR 49, 515 (2001); *Jawbary v. Hassoun*, 40 LLR 420 (2001).

Wherefore, and in view of all the laws cited, and the facts and circumstances narrated hereinabove, and the rulings herein above made, it is the considered opinion of this Honourable Court that the appeal be and the same is hereby granted and the judgment appealed from reversed for being void *ab initio*. Accordingly, the declaratory judgment proceedings filed in the debt court are dismissed without prejudice to the appellee to refile his suit before the Civil Law Court, Sixth Judicial Circuit, Montserrado County.

The Clerk of this Court is hereby ordered to send a man-date to the Debt Court for Montserrado County, commanding the judge presiding therein to resume jurisdiction over the case and give effect to this opinion. Costs are disallowed. And it is hereby so ordered.

Judgment reversed.